

Management Summary Report – StreamFlix

To: Chief Executive Officer, StreamFlix

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Subject: Platform engagement, subscriber health and content investment

Executive Summary

StreamFlix shows **strong overall engagement**, with approximately **3.33 million watch hours** and an average completion rate of **65.31%**. The platform has a base of **15,000 subscribers**, of whom approximately **11,000 are active**, while the reported churn rate is **25.34%**, making subscriber retention an important business concern. Viewing activity has increased in recent years, with **2026 showing the highest watch-hour levels** in the year-over-year analysis, particularly from March to May. Content consumption is led by **Drama**, while Smart TV and Mobile are the main viewing platforms. At the same time, the catalogue is largely licensed, with **78.16% licensed titles versus 21.84% Originals**, and total content spend is substantial at approximately **\$21 billion**. Overall, StreamFlix has a healthy engagement base and positive customer feedback, but reducing churn, improving completion, and closely managing content investment should remain key management priorities.

Top 3 Findings

- 1. Engagement is strong and has increased in recent years.** StreamFlix records about **3.33M watch hours**, with 2026 showing the highest viewing activity in the year-over-year analysis. Drama leads content consumption with approximately **501.88K watch hours**, followed by Comedy and Action.
- 2. Subscriber retention is the main concern.** The **25.34% churn rate** means roughly one quarter of subscribers are inactive, while the active base is approximately 11K out of 15K subscribers. This creates a direct risk to recurring revenue and long-term growth.
- 3. Content investment is heavily weighted toward licensed content.** Licensed titles represent **78.16%** of the catalogue, compared with 21.84% Originals. Total content spend is approximately **\$21B**. Animation records the highest watch-hours-per-\$1K-spend figure at **0.17**, while Comedy has the highest total content spend at approximately **\$2.76B**.

Risks Identified

- **High churn:** The **25.34% churn rate** is the clearest business risk because customer losses can reduce recurring revenue and increase the cost of replacing subscribers.
- **Moderate completion:** The average completion rate is **65.31%**. While this indicates meaningful content consumption, a significant share of viewing does not reach completion, creating an opportunity to improve content engagement.
- **High content investment:** Total content spend is approximately **\$21B**, with licensed titles making up most of the catalogue. Large spending levels increase the importance of monitoring whether individual genres and titles generate sufficient viewing value.
- **Licence dependency:** Because **78.16% of titles are licensed**, upcoming licence expiries and renewal costs need to be monitored so that important content is not lost unexpectedly.

Opportunities

- **Improve retention through targeted engagement.** Use subscriber behaviour, plan type, tenure and viewing patterns to identify customers who may be less engaged and provide relevant content or retention offers.
- **Grow watch time through high-performing genres.** Drama, Comedy and Action already generate strong watch hours, while genres such as Stand-Up, Animation and Musical show relatively high

completion rates. These patterns can guide content promotion and recommendation decisions.

- **Strengthen efficient content investment.** Compare watch hours, plays and content spend together before renewing or expanding costly licensed content. Genres with stronger viewing value per \$1K of spend can receive greater attention.
- **Focus on the main viewing platforms.** Smart TV accounts for about **34%** of watch hours and Mobile about **27.01%**. Improving the viewing experience on these platforms can support continued engagement.

Recommendations

1. **Launch a targeted retention program.** Identify less-engaged and at-risk subscribers using recent viewing activity, tenure, plan and usage patterns. Provide personalized content recommendations and selected retention offers, and review churn performance monthly.
2. **Prioritize content using both engagement and cost.** Before renewing or adding expensive licensed titles, compare their watch hours, total plays and watch hours per \$1K of spend. Give additional promotional attention to content that combines strong viewing demand with efficient spend.
3. **Improve completion and discovery.** Promote genres with stronger completion rates and improve recommendations so viewers are more likely to continue watching relevant titles. Track completion rate by genre and title to measure the effect.
4. **Actively manage the licensed catalogue.** Maintain an upcoming licence-expiry list and review high-viewership titles well before expiry. This will give management time to decide whether to renew, replace or reduce promotion of expiring content.
5. **Monitor a small set of executive KPIs every month.** Track churn, active subscribers, watch hours, completion rate, ARPU, watchlist conversion and content investment together so that changes in customer behaviour and financial performance can be identified early.

Conclusion

StreamFlix has a **strong engagement foundation**, supported by 3.33M watch hours, increasing viewing activity in recent years, and predominantly positive review sentiment. However, the **25.34% churn rate** is a significant risk to sustained subscriber growth and recurring revenue. The platform also has substantial exposure to licensed content, with **78.16% of the catalogue licensed** and approximately **\$21B in total content spend**. Management should therefore focus on retaining existing subscribers, improving content completion and discovery, and making content investment decisions using both viewing performance and cost. Regular monitoring of these indicators will help StreamFlix protect its subscriber base while improving the value generated from its content catalogue.